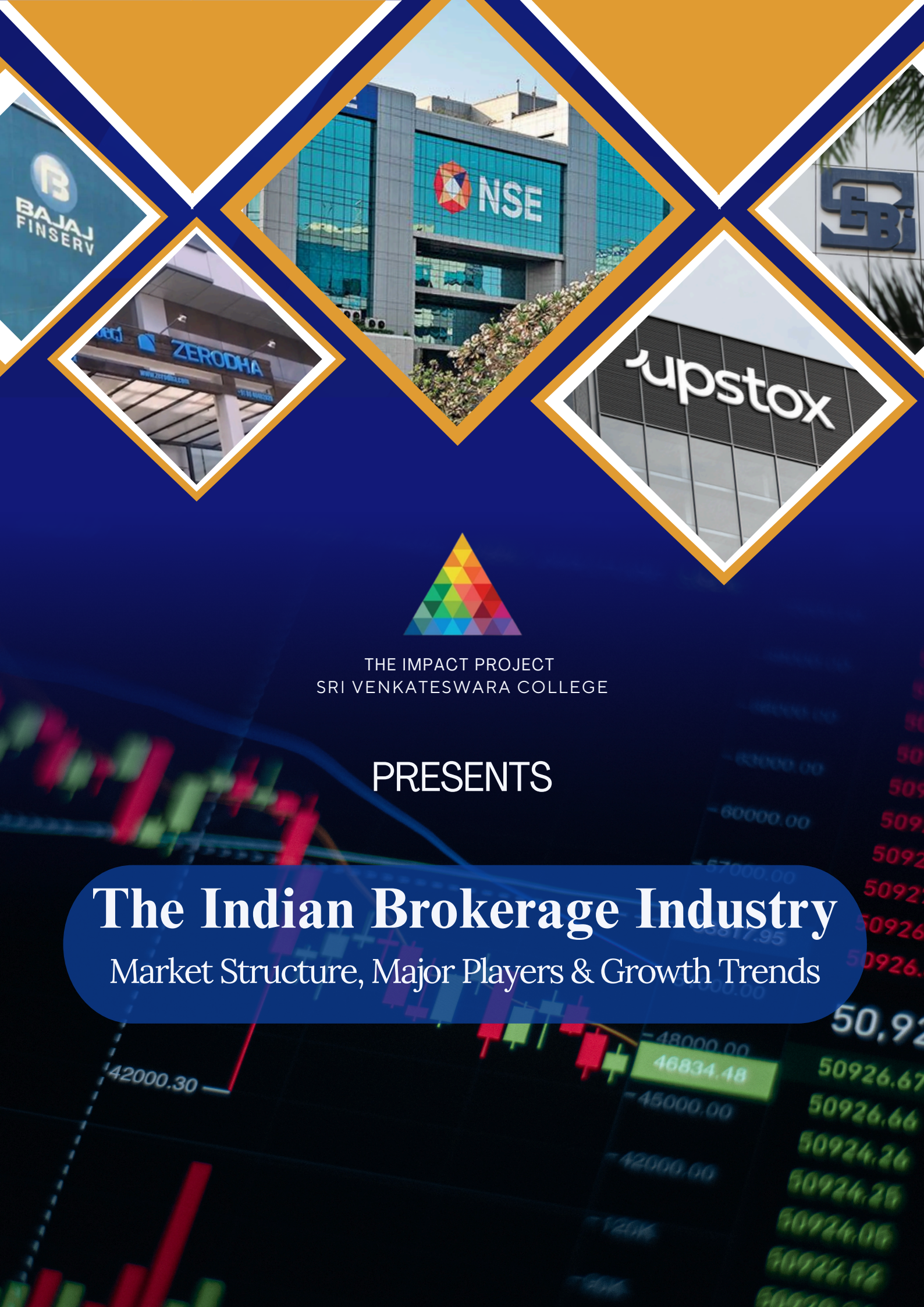




THE IMPACT PROJECT
SRI VENKATESWARA COLLEGE

PRESENTS

The Indian Brokerage Industry

Market Structure, Major Players & Growth Trends



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The Macro-Analyst: A Structural Shift

Financialisation of Savings:

For years, Indian families have saved gold, stored cash, and put money in tangible assets to safeguard their future. But now, there is a noticeable shift as more Indian households are moving away from old saving ways and putting their money to work through investments.

Following trends have been observed –

- **Equity Market Expansion:** In FY25 alone, households invested over Rs 4.5 lakh crore into equity markets, either directly or via mutual funds.
- **Shift in Composition:** Equity as a share of household savings increased from 1.3% in FY21 to 2.1% by FY2025.
- **Gold and Real Estate as Secondary Choices:** While gold often outperformed equities over a 20-year period, its attractiveness for new investment diminished in favor of higher-growth financial products. Real estate, while still a major holding, is increasingly being evaluated for liquidity and rental yield rather than just capital appreciation.

Trend	2015	2025
Share of household investable assets	4%	9%
Share of cash/bank deposits	63%	43%
No. of demat accounts	20 million	130 million
AUM surge	4.2 crore	23.5 crore

Factors driving the capital migration-

- **Digital Transformation:** The proliferation of UPI, Aadhaar-based e-KYC, and user-friendly investment apps (like Groww) lowered entry barriers, making investing accessible to smaller towns.
- **Systematic Investment Plans (SIPs):** SIPs have become a preferred method for retail investment, with annual contributions growing from ₹439 crore in FY2017 to over ₹2,894 crore in FY2025, a nearly 6-fold increase.
- **COVID-19 as an Accelerator:** The pandemic-induced lockdowns gave households time to focus on financial planning.
- **Regulatory Reforms:** The government and regulators (SEBI) have pushed for, and incentivized, the shifting of idle physical wealth into formal financial channels.
- **Lower Real Returns on Physical Assets:** Increased awareness that inflation often outpaces traditional savings, has driven the shift toward equity for long-term wealth creation.

Therefore, following are the key impacts and predicted future outlook-

- **Market Stability:** Domestic household savings have reduced reliance on volatile Foreign Portfolio Investors (FPIs).
- **Higher Risk Tolerance:** The shift reflects a growing willingness among households to accept short-term risks for long-term growth, with mutual funds serving as a popular intermediary.
- **Future Projections:** Goldman Sachs estimates that Indian households will channel approximately \$9.5 trillion into financial assets over the next decade. Over the next 10 years, household financial savings are projected to average 13% of GDP, up from the 11.6% seen in the past decade.
- **Proposed Policy Support:** Future reforms may include incentives to switch from physical to financial assets, such as tax exemptions under Section 54F for reinvesting proceeds from gold/real estate into Equity Linked Savings Schemes (ELSS).

The Digital Highway (Indian Stack):

The convergence of Aadhaar, e-KYC, and the UPI, collectively known as the core of India Stack has revolutionized digital adoption in India by creating a zero-friction, paperless, and presence-less onboarding funnel. This infrastructure has enabled over 100 million users to join the digital financial ecosystem by reducing the cost of customer acquisition from over \$23 to nearly \$0.15. The system enables users to complete identity verification and bank-linked account activation in minutes, with over 284 crore Aadhaar authentication transactions recorded in January 2025 alone.



Key Parts Of Indian Stack:

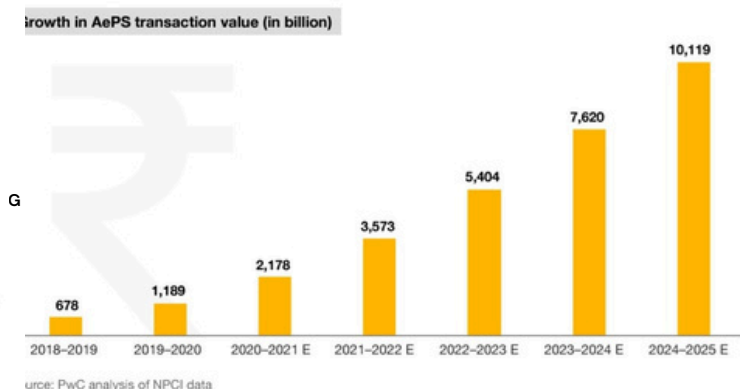
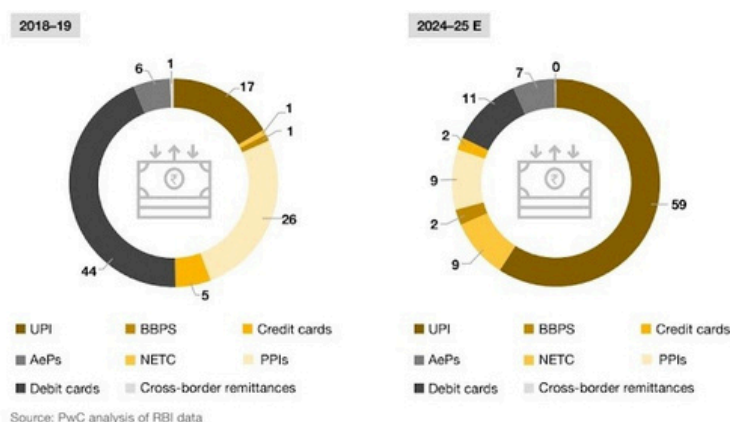
- **Unique Identification Number:** The India Stack or Aadhaar Stack is made up of the UIDAI. This is the Unique Identification Number which is linked to the biometric readings of the individual.
- **e-KYC:** In order to receive industry feedback, Aadhaar was added as an e-KYC project. This enables organizations to get instant verification of customers.
- **AEPS:** The NPCI developed the Aadhaar Enabled Payments Systems (AEPS). Using AEPS, this improves financial inclusion for retail outlets that can go cashless and allows for disbursement of government entitlements and bank to bank transfers.
- **UPI:** The Unified Payment Interface enables a payment request and customer to send funds to a beneficiary and collect requests from a customer for payment.
- **eSign:** eSign is enabled through an API that facilitates an Aadhaar cardholder to electronically sign documents. This is authenticated through biometric readings and through an OTP, it reduces paperwork with the digital authentication process and provides legal validity with this signing mechanism.
- **DigiLocker:** Another great feature is a DigiLocker that is used as a Government of India repository for documents, users can sign up for services by linking their Aadhaar cards and similarly it can be used to upload documents, eSign these documents and share the documents at any time, from anywhere.

The Three Pillars of the Zero- Friction Funnel-

- **Aadhar:** Provides a unique, 12-digit biometric identity, allowing residents to prove who they are anytime, anywhere, without physical documents.
- **e-KYC:** Uses Aadhar-based OTP or biometric authentication to instantly verify identity and address.
- **UPI:** A real-time, interoperable payment system allowing instant transfers directly from bank accounts.

How the convergence drives 100 million users-

- **Instant Onboarding:** Digital-only brokers like Zerodha and, along with neo-banks, use these APIs to onboard millions of users without branch visits.
- **Small Merchant Inclusion:** Street vendors and small businesses use UPI QR codes for transactions, instantly becoming part of the formal economy.
- **Direct Benefit Transfer (DBT):** The government uses this stack to send subsidies directly to the bank accounts of millions of citizens, eliminating middlemen and fraud.
- **Scale and Speed:** As of 2025, over 141 crore Aadhaar IDs have been generated. The UPI system handles over 10 billion transactions monthly, with 60% of users in Tier-2 and Tier-3 cities.
- **Real-Money Gaming & Apps:** The combination of UPI and eKYC enabled the rapid adoption of digital gaming and fintech apps, adding over 100 million users to the digital ecosystem in 2020.



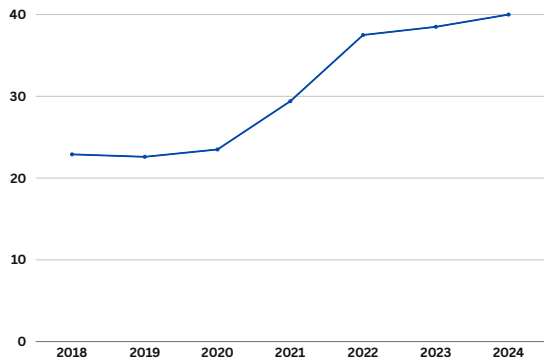
Key success indicators -

- **Total e-KYC Transactions:** Over 2,393 crore as of April 2025.
- **UPI Transactions:** Handled over 16 billion transactions in December 2024, a massive leap from 1.99 million in Dec 2016.
- **Aadhaar Face Authentication:** Reached 200 crore transactions in August 2025, doubling from 100 crore within 5 months time.

The Demographic Engine:

To empirically demonstrate how India's young demographic profile is reflected in a median age of 28.7 years and is structurally shaping investor behavior, increasing risk appetite, and accelerating participation in speculative trading, particularly in the F&O .

Demographic Structure: Increase in participation under the age of 30



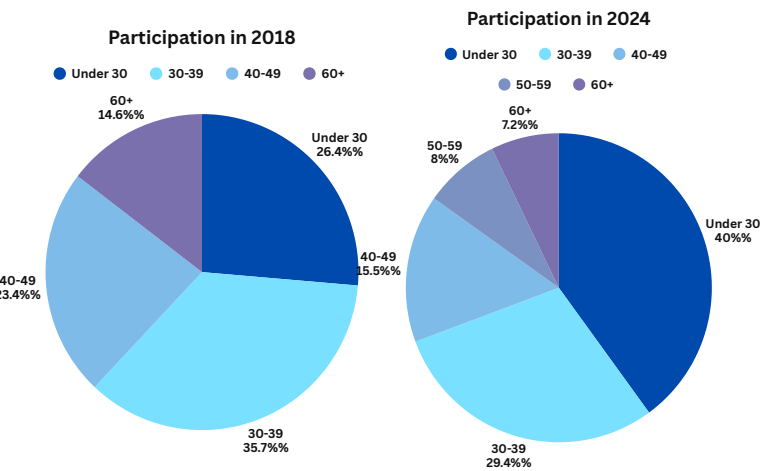
Reasons:

- **Impact of Digital Platforms:** Over the past few years, digital platforms have simplified investing for young individuals. These platforms offer user-friendly interfaces, educational resources, and tools that help demystify the complexities of investing
- **Wider Access to Financial Education:** Financial platforms have made investment education and information readily available, encouraging young people to take their first steps
- **The Digital Era:** Digital financial tools and social media have played a pivotal role in reshaping India's financial demographics. Investing is no longer confined to experts; the digital age has made it accessible to everyone.

An Analysis done by Share.market also highlighted the growing investor base in India. The sample size included 6 lakh mutual fund investors from August 1 2024 and July 31 2025.

- 48% mutual fund investors were aged between 18-30 yrs.
- Around 90% genz start there investment journey in mutual fund through equity. This clearly states the risk appetite for high rewards of young Investors.

Age Group Participation Shift



Outcome:

The share of investors below 30 has increased, while participation of investors above 40 has declined. This confirms a generational shift in market participation towards younger age groups."

- New survey finds 30% of Gen Z began investing in university or early adulthood, compared to 15% of Millennials, 9% of Gen X and 6% of Baby Boomers.
- Younger generations are also more open to tech and AI enabled financial advice, with 41% of Gen Z and Millennials reporting they would allow an AI assistant to manage their investments.
- Millennials, who are older, more established, and likely possess greater disposable income, show a logical progression : more

Gen Z, however, shows a disconnect. They may be consuming content frequently (high literacy proxy score), but the low significance suggests that while they know about investing, financial constraints or a lack of long-term stability prevent this knowledge from translating directly into higher investment volumes. This highlights a "knowledge-action gap".

Risk Behaviour of Young Investors

Indicator	Result
Age 18-25	78.40%
Students	66.70%
Started Post Lockdown	60%
Trade <₹10K week	72.50%

Sample Profile

- Sample size: approx. 100 respondents (as per study)
- Majority aged 18-25
- Mostly students and first-time traders
- Entered markets mainly after lockdown
- This shows that most young traders are students who entered recently and trade with small capital. This suggests experimentation and early exposure rather than mature investing.



Factor	Result
High Risk Appetite	36.20%
Medium Risk Appetite	Majority
Low Risk Appetite	Small Share
Profit	60.80%
Break Even	29.40%
Loss	9.80%

Reasons-

Low Fear of Loss: Young investors have fewer financial obligations and longer recovery horizons, reducing loss aversion and increasing risk-taking behavior.

App-Native Tech Comfort: High technological familiarity encourages experimental trading, including engagement with complex and high-risk assets.

Wealth Gap Pressure: Rising inflation and housing costs make traditional savings appear inadequate, pushing youth toward high-return investment options.

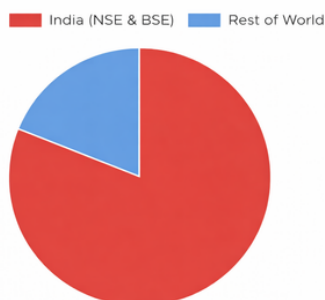
Gamification Effect: Game-like features such as leaderboards and instant feedback heighten excitement and promote emotionally driven, riskier trades.

Overconfidence Bias: Simplified, user-friendly platforms create a false sense of safety, leading to overconfidence despite limited financial knowledge.

Low Sunk-Cost Sensitivity: Small initial investments reduce perceived loss, encouraging speculative and high-risk investment decisions.

How median age of 28.7 lead to unprecedented F&O growth

India's Share in Global F&O Volumes



- Futures and Options are financial derivatives that allow traders to speculate on the future price of an asset without owning it. The key difference between the two lies in the obligations they impose on the buyer and seller
- SEBI's report shows that only 7.2% of retail traders made profits over the past three years, underscoring the risk involved in speculative trading
- Youth share in F&O rose from ~31% (FY23) to ~43% (FY24).
- Retail investor activity in India's derivatives market has increased significantly. According to official data released by regulators, the number of individual traders has grown by over 120% between FY22 and FY25 to almost 10 million.

People are losing money in f&o trading mainly because of the following factors-

1) Transaction Cost- According to SEBI Reports, ₹50,000 was incurred by individual in transaction cost in last three years. A breakdown of these costs includes 51% as brokerage fees.

For many traders, especially those making frequent trades, these costs can eat into potential profits.

2) Behavioral Aspect- One of the most fascinating aspects of SEBI's report is the persistence of loss-making traders. Despite incurring significant losses year after year, over 75% of traders continued trading even after losing money in consecutive years.

This phenomenon can be attributed to a variety of factors:

- Overconfidence:** Many traders believe they can "make back" their losses by continuing to trade, hoping for that one big win that will turn everything around.
- Anchoring bias:** Traders often cling to their initial investment or a particular price point, making it difficult for them to cut losses or exit unprofitable positions.
- Social validation:** With the rise of social media, many traders are influenced by success stories and public forums that exaggerate the ease of making money in F&O trading.

Year	Net Profit (₹Crore)	No. of traders (lakhs)	Loss makers (%)	Average per person P&L (₹)
FY22	-40,824	42.7	90.2%	-95,517
FY23	-65,747	58.4	91.7%	-1,12,677
FY24	-74,812	86.3	91.1%	-86,728
FY25	-1,05,603	96.0	91.0%	-1,10,069
Y-O-Y Change	41%	11%	NA	27%

Problems And Challenges Faced

Crackdown on Net Interest Revenue (NIR)

For years, Indian brokers operated on a Subsidized Model. They offered ultra-low or zero commissions because they were making up the shortfall through the float, the interest earned on your idle cash and the "rebates" they got from exchanges for high volumes.

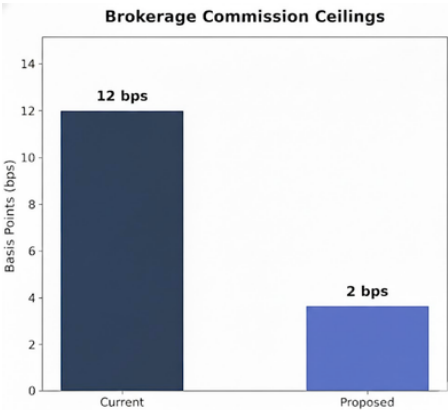
SEBI has effectively systematically dismantled this in two moves:

- **Upstreaming of Funds:** Brokers are now required to move all client cash to the Clearing Corporation every single day. They can no longer pool investor money in their own accounts to earn interest.
- **Secondary Market ASBA:** This is the final blow. Much like other purchases like say an IPO, Users money for regular stock trades now stays in your bank account and is only blocked. Investors bear the interest, not the broker.

Mutual Fund Commission Squeeze

SEBI's proposed brokerage caps represent a structural threat to institutional revenue. By slashing commission ceilings from 12 bps to 2 bps, the regulator is effectively forcing a **30% to 50% revenue contraction** in the Mutual Fund (MF) segment.

Even if a firms trade volumes increase by 20%, the fee cap results in a **net revenue decline** of nearly 40%. This means volume can no longer compensate for price drops.



The Systemic Eradication of Retail Capital

The risk involved in retail trading is very similar to that of starting a business, playing a sport, or making music for a living, or anything that is competitive. What is unique about trading is that it's **very easy to get started**, unlike starting a business, all you need is a smartphone and a UPI account.

A **2025 SEBI study** revealed that **91% of individual traders lost money in F&O** in the last fiscal year, with aggregate losses widening to 1.06 Lakh Crore in FY25 alone. Over a three-year period (FY22-FY24), **93% of traders incurred losses**, with an average loss of 2 Lakh per person.

The ease of access led to the massive increase in retail investors we have seen until now, and the downturn in the industry seen in the last few months is just people waking up to the realization that the dream of making **easy money** through trading is not real. A retail trader has **minimal resources to diversify, lacks information** but still has to compete with hedge funds and algo traders with their massive resources.

The Retail Trading Reality Check (SEBI Data FY22-FY24)





Regulation vs. Revenue

The Indian brokerage industry has entered a **"margin pincer"** phase, where Indian brokerages face collapsing profit margins. Regulators have been mandating **massive, non-discretionary increases in technology and compliance spending**.

Rising costs:

Technology Arms Race: Firms are forced to over-invest in infrastructure to handle **record volumes** and prevent system outages.

Talent War: Engineering salaries up **68% year-over-year** at firms like Angel One.

Compliance Burden: SEBI's 2025 framework requires 24/7 security centers, constant auditing, and legal teams.

Discount brokers focused on execution and high-frequency trading can't sustain these costs without subsidies.

The Cost-Cutting Trap

With a significant chunk of their easy profit gone, brokerage firms are facing a dilemma: **raise fees or cut costs**.

When profit margins shrink, heavy investments in **high-end server capacity, redundant cloud failovers, and "over-provisioning" (keeping extra capacity for busy days)** look like easy targets for the CFO's red pen.

A broker might not "delete" servers, but they may stop upgrading them at the rate required to **keep up with the 100+ million demat accounts now active**. They might move to cheaper, less reliable cloud tiers or delay critical "Tech Debt" repayments (updating old code that slows down the system).

The danger isn't on a normal Tuesday; it's on a "Black Swan" day – a sudden 2-3% market crash or a massive election-related move. On these days, **10x the usual number of users log in simultaneously**. If a broker has "right-sized" their servers to save money based on average traffic, the system hits a ceiling. Orders aren't executed, login screens hang, and portfolios don't refresh.

BTST Margin Delay

BTST stands for Buy Today, Sell Tomorrow. The Indian capital markets **follow a T+1 settlement cycle**.

Traders cannot use the credit from selling T1 holdings BTST on the same day due to regulatory requirements. When you sell T1 holdings, the EPI process cannot begin until your shares **settle in your demat account**. Therefore, traders can only use proceeds from selling T1 holdings **from the next trading day** when the shares are settled. The credit from selling T1 holdings (BTST trades) cannot be used on the same day as per regulations (PDF). This means traders cannot use the proceeds from your BTST sale immediately.

This creates severe **capital inefficiency for active traders**. They may miss on opportunities to **capitalize on intraday movements, cannot rotate capital quickly across different stocks**, and effectively have **reduced buying power** despite having completed your sale. It becomes a major issue for traders with limited capital as well.

When we sell shared through BTST or regular delivery positions, brokers do not credit the sale and moves back to your account on the same day. The capital remains blocked even after exiting the position.

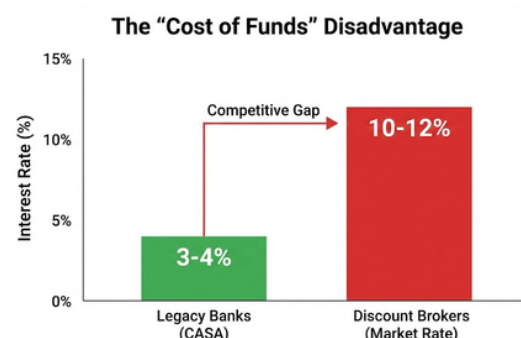
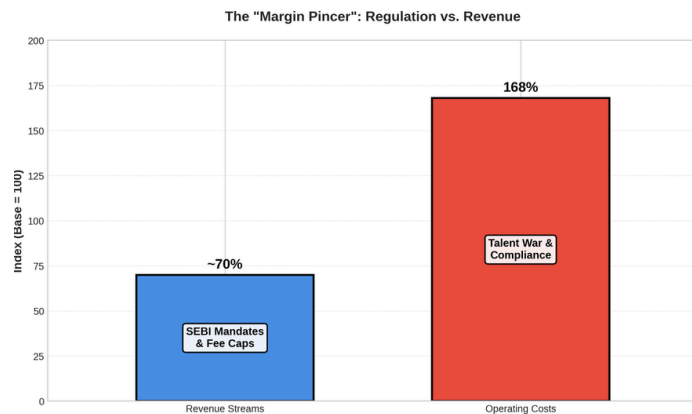
For example, when we sell stocks worth ₹50,000 in the morning, users cannot use that money for new trades **until the next day or later**.

Inability to diversify operations

The biggest threat to discount brokers diversifying isn't each other. This is where the **legacy banks** (ICICI, HDFC, Kotak) are already winning. They have access to **CASA (Current Account Savings Account)** deposits which means they "borrow" money from their own savings account holders.

Discount Brokers don't have a banking license. To offer loans, they must **borrow from the market or banks** at high interest rates themselves.

Because their "Cost of Funds" is higher, they **cannot compete on interest rates**.





The “Zero Brokerage” Illusion

Peeling Back the Layers of “Free” to Uncover the True Cost of Trading

“Zero brokerage” is one of the most powerful phrases ever introduced into India’s retail financial markets. It carries the promise of democratisation, fairness, and efficiency, an assurance that markets have finally shed the old, extractive middlemen and opened their gates to everyone. For millions of first-time investors and traders, this phrase became synonymous with empowerment. Yet, like many things that sound too good to be true, zero brokerage is less a reality than a carefully curated narrative. The cost of trading has not vanished; it has merely been redistributed, fragmented, and obscured. At its core, zero brokerage does not mean zero cost. It simply means the most visible line item, i.e the per-trade commission, has been removed from the spotlight. What remains is a web of charges embedded across the lifecycle of a trade, many of which are triggered precisely when the trader is least in control: during volatility, margin stress, or system intervention.

Hidden Costs in Zero Brokerage

The zero-brokerage model hides various fees that accumulate over time, often invisibly, across different aspects of trading. These charges ensure brokers still generate revenue, even without traditional commissions:

- **DP (Depository Participant) Charges:** The first crack in the illusion appears with DP charges. Every time an investor sells shares from their demat account, a fixed fee is levied regardless of trade size or profitability.¹ For long-term investors, this cost is infrequent and tolerable. For active traders and swing participants, it becomes a recurring friction. The irony is stark: buying is “free,” selling is not. The broker earns nothing when you enter a position but monetises your exit, quietly ensuring that activity still generates revenue. The fee is small in isolation, but relentless in repetition, particularly for investors rebalancing portfolios or exiting partial positions.
- **Auto Square-Off Fees:** Then comes the domain of auto square-off fees, a charge that exists almost entirely because of systemic fragility. Intraday traders are told upfront that positions must be closed before a specific cutoff time. What is less emphasised is what happens when volatility spikes, liquidity thins, or platforms slow down. In such moments when the trader is most vulnerable, the broker’s risk system takes control. Positions are force-closed, often at unfavourable prices, and a square-off fee is applied for the service of protecting the broker’s capital. The trader pays not just in lost P&L, but in an explicit charge for losing control. This fee is not for convenience; it is a penalty imposed by design, justified as risk management, but experienced as coercion.
- **Gateway, Platform, and “Ecosystem” Levies:** Perhaps the most opaque layer is the rise of gateway, platform, and “ecosystem” levies. These charges are rarely framed as brokerage. They are labelled as transaction fees, platform usage charges, API access costs, or settlement handling fees. Individually, they appear negligible. Collectively, they form a steady revenue stream that scales with volume rather than profitability. The more active the trader, the more they pay, regardless of whether they make a profit or incur a loss. In effect, the broker’s incentives are decoupled from client success and aligned instead with churn and activity.

The Insidious Nature of These Costs

- What makes these costs especially insidious is their timing. Brokerage, when it existed, was predictable and visible. Hidden charges surface after the trade, at settlement, or in monthly statements that few retail users scrutinise closely. Losses are attributed to market movement, while fees fade into the background noise of “charges & taxes.” Over time, traders internalise the belief that they are losing because of poor decisions, not realising how much friction is being siphoned off mechanically.
- **Behavioral and Structural Impacts**
- The zero-brokerage model also reshapes behaviour in subtle ways. By removing the psychological barrier of a visible commission, it encourages over-trading. More trades feel harmless when the entry appears free. But every additional trade increases exposure to hidden costs, slippage, taxes, and forced interventions. The system rewards volume, not discipline. In this environment, the trader’s greatest enemy is no longer just market risk; it is structural friction disguised as freedom.
- **Implications Beyond the Illusion:**
- None of this implies malice or illegality. Brokers operate within regulatory frameworks, disclose charges in fine print, and remain compliant. The illusion persists not because of deception, but because of asymmetric attention. Retail traders focus on what is removed (brokerage) rather than what is introduced or amplified elsewhere. The industry celebrates lower headline costs while quietly normalising a new fee architecture that is harder to see, harder to calculate, and harder to challenge.
- Understanding this does not mean rejecting modern platforms or returning to legacy models. It means approaching the market with clarity rather than slogans. Because in a system that claims to be free, the most expensive thing a trader can buy is ignorance of the true cost.

Cloud-native Challengers vs Legacy Bank Brokers

Industry Shift in Brokerage Infrastructure

In Traditional legacy bank-backed and full-service brokerage firms have long formed the backbone of India’s capital market infrastructure. Institutions such as ICICI Direct, HDFC Securities, Kotak Securities, Sharekhan, and Motilal Oswal were established in an era where brokerage services were closely integrated with banking, relationship management, and advisory-driven investing. These firms built their platforms around trust, regulatory compliance, and operational continuity, catering primarily to long-term investors rather than high-frequency retail traders.

The emergence of cloud-native, discount brokerage platforms marked a structural shift in the industry. By contrast to legacy brokers, these new-age firms prioritise speed, scalability, and cost efficiency. This raises important questions about stability dynamics within India’s brokerage infrastructure.

Architectural Deep-Dive: Stability vs. Scalability

Feature	Cloud-Native (Groww/Zerodha)	Legacy Brokers (ICICI Direct/HDFC Sec)
System Core	Distributed Microservices	Centralised Monolithic Systems
Infrastructure	Distributed Cloud Computing	On-premise or Hybrid Data Centres
Integration	API-driven Connectivity	Direct Bank-led Risk Integration
Priority	Speed & Rapid Deployment	Uptime & Regulatory Robustness

Comparative Performance & Metrics (FY25)

- The infrastructure gap is mirrored in operating efficiency, where cloud-native brokers convert:scale directly into profitability.
- Legacy brokers maintain organisational "slack" and balance-sheet depth at the cost of slower innovation and lower margins.
- **Financial Snapshots:**
 1. **Groww:** Reported ₹4,056 crore revenue and ₹1,824 crore net profit with 1,415 employees.
 2. **Zerdha:** Reported ₹8,500 crore revenue and ₹4,200 crore net profit with 2,300 employees.
 3. **Motilal Oswal:** Generates ₹0.38 crore per employee compared to Groww's ₹2.9 crore and Zerodha's ₹3.7 crore.
 4. Strategic Trade-off: High efficiency in cloud-native models comes with **heightened sensitivity** to platform disruptions.

Strategic Adaptation & Market Pivot

The brokerage landscape is undergoing a critical transition as discount players move beyond basic transaction-facilitation. To offset infrastructure fragility and margin pressure, firms are diversifying into high-margin financial products and sophisticated technology-as-a-service models.

Key Transformation Pillars

- **Revenue Diversification:** Shift from pure-play trading commissions toward mutual fund distribution, insurance, and IPO underwriting to build a more resilient financial base.
- **Infrastructure Hardening:** Deployment of record profitability toward building "bank-grade" redundancy and hybrid-cloud systems to mitigate sensitivity to platform disruptions.
- **Advisory Integration:** Increasing reliance on AI-driven insights and digital relationship management to bridge the gap with the high-touch service of legacy firms.
- **Operational Discipline:** Transitioning from "growth-at-any-cost" to sustainable scalability, prioritising system stability over rapid feature deployment during market peaks.

The Downtime Diaries

Introduction

The question isn't "if a downtime will occur" It's what happens when it does. To the Brokers, it's when their trust is on the line. In the brokerage industry, where reliability and seamless access are essential, any form of downtime directly challenges the trust that brokers have built with their users. This trust is critical because brokerage platforms handle sensitive financial transactions, and even brief interruptions can lead to significant user frustration, potential financial losses, and long-term damage to the broker's reputation.

Classifying the Critical Platform issues



Critical platform issues can be split into three major parts, each varying in frequency, severity, and underlying causes:

- **Front-End Downtime:** This is the most common kind of downtime, primarily impacting user-facing elements. Examples include mobile apps glitching, websites crashing, or logins repeatedly failing. These outages degrade user experience without causing total system failure and are more common during high volatility situations, such as major macroeconomic data being made public, geopolitical events occurring, or policy announcements. In these cases, a large volume of traders attempt to adjust their portfolios at once, creating a surge in user activity on brokerage platforms. This surge might result in CAPTCHA requests getting queued, authentication servers getting overwhelmed with requests, delays in executing trades, risk management systems throttling orders, order management systems queuing faster than they can clear, and market data feeds lagging or desynchronizing. However, this unintended behavior is neither predictable nor uniform—the system doesn't collapse under load; it degrades unevenly, affecting different users variably.
- **Back-End Downtime:** This refers to a scenario in which either major brokerage platform's core database systems are down, or the exchange's critical systems themselves are down.
- Such outages are extremely rare and extremely serious when they happen. Since these platforms are built with redundancy of their core functionality in mind, and are legally required and liable for such catastrophic issues, we rarely see such events in recent times. Such events could be hypothetically triggered by targeted cyber attacks by nation-state actors, potentially in a cyber-war-like scenario.
- **Accessibility of Services Downtime:** This occurs when the issue is not in the "Broker's end" but can severely affect the user experience. This occurs when the broker's services are unavailable due to widespread outages, which only affect a select number of users.
- Examples include DNS outages, regional CAPTCHA outages affecting only select users, app updates crashing on select devices, and so on.

A Wakeup Alarm

On 5th December 2025, Internet Security Giant Cloudflare went down due to multiple simultaneous issues faced by the company, the most notable one being a zero-day React.js vulnerability (CVE-2025-55182). Since Cloudflare was the DDoS protection provider and Reverse Proxy provider for major brokers, including Zerodha, Groww, and Angel One, their services were severely impacted during the outage. This lasted for around 1 hour during a high-intensity RBI Policy announcement. During this, users faced login failures, order execution & cancellation errors, and web portal inaccessibility during a critical market period. This incident is of profound importance to us because it reveals something important and disturbing about the system. It showed us that multiple major brokerage platforms could get impacted at once, without the need for any foul play. Such events could occur during heightened market activity linked to a major macro announcement. how external infrastructure dependencies can cause systemic broker downtime, even when exchange core systems are functioning.



The "True-to-Label" Shock: Regulatory Pressure on EDS

The Economics of Rebate Removal

Discount brokers in India have historically relied on exchange rebates, specifically slab-wise payouts for high trading volumes, to maintain razor-thin margins. SEBI's decision to scrap these volume-based incentives starting in late 2024 levels the playing field but forces brokers to absorb full transaction costs.

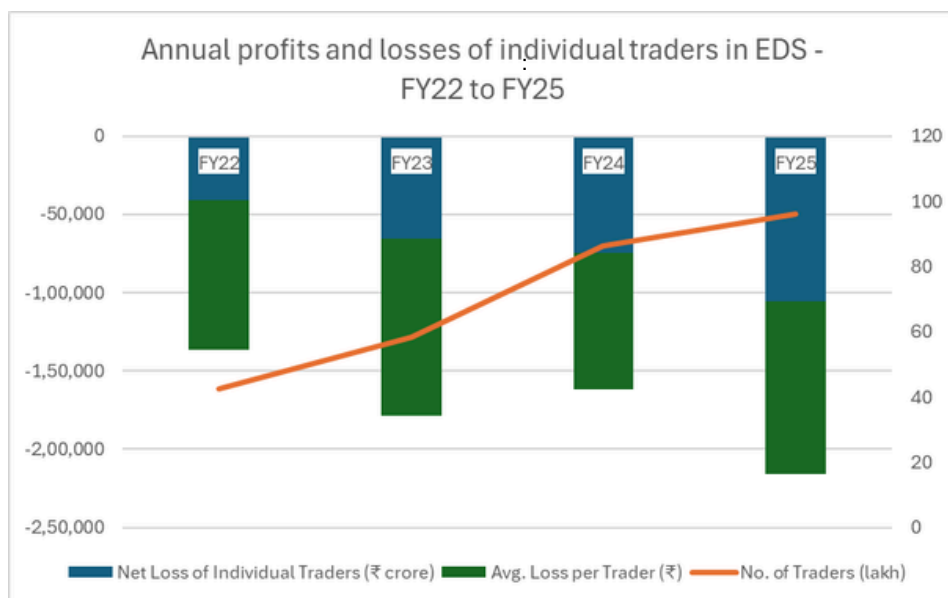
The Revenue Ripple Effect:

- **Brokerage Exposure:** Rebates previously accounted for 20% to 40% of broker revenues in the Equity Derivatives Segment (EDS).
- **Industry Impact:** Estimates suggest a 25% to 35% revenue erosion across the industry post-rebate removal.
- **Profit Sensitivity:** Large discount players like Zerodha or Groww, who derive 70%+ of revenue from EDS, could see profits halve without rapid adaptation.

Retail Pain: Individual Trader P&L Analysis (FY22–FY25)

SEBI's analysis of the top 13 brokers reveals a staggering increase in net losses among individual retail traders despite regulatory measures. While trading volumes fueled by "loss-chasing" sustained broker turnover in the past, Q4 FY25 data signals a potential client exodus.

- **Ballooning Losses:** Total individual trader net losses rose 41% YoY to ₹1,05,603 crore in FY25.
- **Success Rate:** Roughly 91% of traders lost money in FY25, a figure that remains stubbornly high despite prior studies.
- **Average Impact:** The average loss per trader hit ₹1,10,069, representing a 27% increase from the previous year.
- **Participation Peak:** The number of unique market-wide traders reached 107 lakh, though quarterly data shows a sharp drop-off late in the year.



Quarterly Trends & Regulatory Impact (FY25)

Derivatives measures implemented on November 20, 2024 (mid-Q3), triggered a significant shift in market participation and trader behaviour.

Quarterly Performance:

- **Q3 Peak:** Losses hit a quarterly record of ₹33,661 crore with an average loss of ₹62,975 per person.
- **Q4 Drop-off:** Unique trader numbers plunged 20% post-measures, falling from 61.4 lakh in Q1 to 42.7 lakh in Q4.
- **Marginal Relief:** Q4 losses were 26% lower than Q3, yet they remained higher than the Q1 starting point.

Revenue Hit for Brokers

- **Margin Squeeze:** Standard brokerage fees (0.01% to 0.03%) are insufficient to cover operational costs without the volume-based rebate "sweetener".
- **Strategic Pivot:** Brokers are now under immense pressure to either hike transaction fees or pivot toward high-touch advisory models to sustain profitability.
- **Volume Risk:** The sharp drop in unique traders in Q4 FY25 indicates a shrinking revenue base and slimmer margins ahead for tech-first platforms.
- **Regulatory Balance:** While SEBI's moves are designed to protect retail traders from extreme speculation, they have simultaneously decimated the core profit engine of the discount brokerage model.

The F&O Correction: Strengthening Market Stability

Regulatory Framework for Investor Protection

SEBI introduced targeted reforms in the F&O segment to address rampant retail speculation and transition derivatives trading away from high-risk "gambling" behaviour. These measures, formalised through circulars in October 2024 and May 2025, aim to protect small investors by raising financial barriers and curbing short-term betting.

Key Regulatory Pillars:

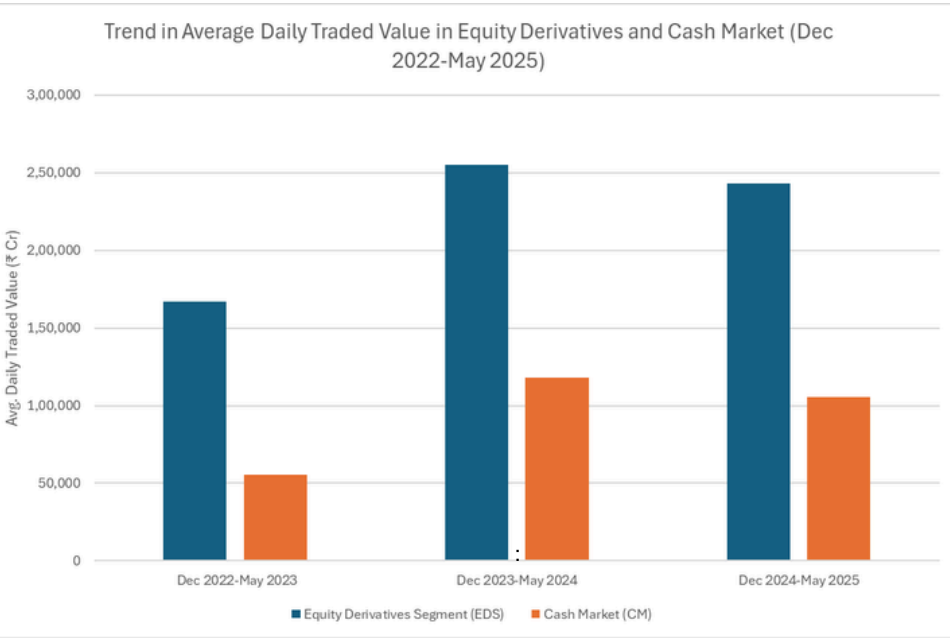
- Lot Size Hikes:** Minimum contract values were increased to ₹15 lakh-₹20 lakh, effectively tripling the capital required for a single lot.
- Weekly Expiry Restrictions:** Exchanges are now limited to only one benchmark index with weekly expiries per week (e.g., Nifty for NSE, Sensex for BSE).
- Margin Enhancements:** Removal of calendar spread benefits on expiry days and a new 2% Extreme Loss Margin (ELM) on short positions.
- Intraday Monitoring:** Real-time risk oversight via multiple intraday snapshots of position limits was implemented from April 2025.

Impact on Participation & Market Dynamics

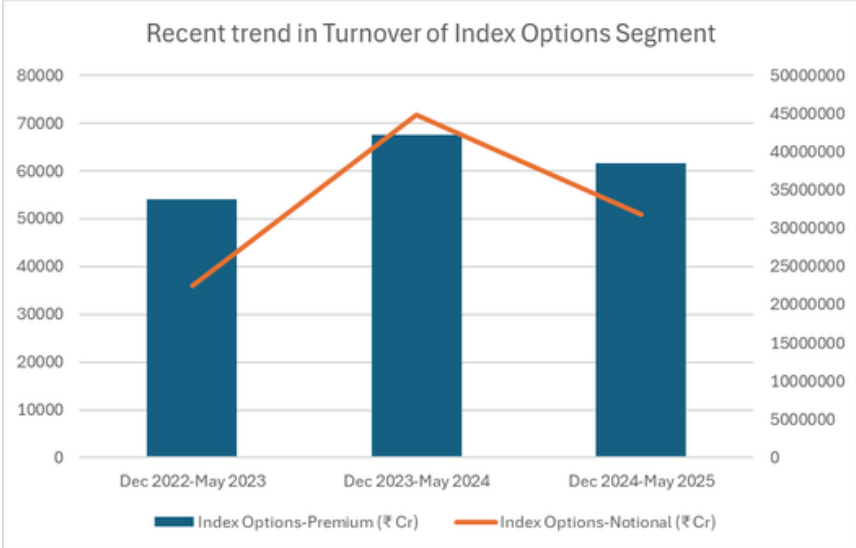
The new regime has successfully tampered with impulsive trading, resulting in a significant shift of retail capital toward more stable segments. Participation dynamics have been altered to favour institutional participants with deeper pockets and long-term strategies.

Emerging Data Outcomes:

- Volume Decline:** Post-reform data shows index options turnover declined by 9% in premium terms and 29% in notional terms.
- Trader Exodus:** The number of unique individual traders in the derivatives segment declined by approximately 20% YoY.
- Capital Migration:** Over 20% of previous F&O trading volumes have reportedly moved to cash equities and mutual funds.
- Speculation Cut:** By reducing the number of weekly expiries, speculative avenues have been curtailed by approximately 70%.



Financial Performance & Turnover Trends



While participation has lowered, the quality of the market has matured with higher institutional hedging and reduced retail losses. The increase in margins (e.g., Nifty margins rising from ₹73,000 to over ₹2 lakh) has made speculative trading unfeasible for thin-margin traders.

Turnover & Daily Value Trends:

- Turnover Moderation:** SEBI quarterly analysis shows a moderation in both aggregate and per-trader losses during post-reform quarters.
- Daily Value Shift:** Average daily traded value in EDS saw a decline as the frenzy of "expiry day gambles" (which caused 10-15x volume spikes) was eliminated.
- Real-Time Restrictions:** Mandatory real-time risk restrictions now discourage "herd investment" phenomena driven by volume-price disconnections.



The Consolidation Wave

Why are major firms in the industry being merged or bought up?

The brokerage industry follows a few key de facto rules that converge to a broad industry-wide consolidation behaviour by the service suppliers.

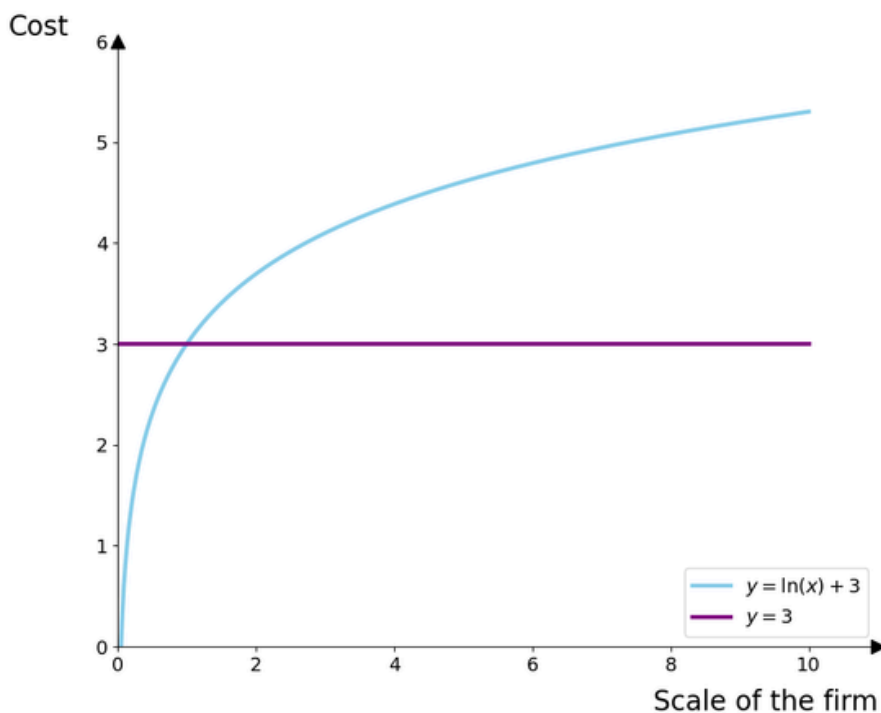
- **IRS:** Non-linear scaling costs due to Increasing Returns to Scale.
- **High Minimum bound:** Starting a new brokerage firm incurs significant costs for factors such as Cybersecurity, high-quality hosting that guarantees 99.99%+ uptime, Reverse proxy services (e.g., Cloudflare), and legal costs, among others, most of which are required due to SEBI guidelines.
- **Synergies:** It is beneficial for larger firms and private equity firms to consolidate their market positions by merging with or acquiring smaller brokerage firms to take advantage of increasing Returns to Scale (IRS)
- **High Trust Requirement:** Due its very nature, brokerage apps need to be backed by well trusted institutions to even have a chance to enter the market.
- **The Outcome:** New entry into the market is heavily discouraged by the incentive structure and high initial standards set by the system, while existing players are encouraged to merge together to exploit strong synergies, leading to a market equilibrium with a highly concentrated market.

Further Implications of IRS

Definition and Mechanism: Increasing Returns to Scale (IRS) occur when a firm's output increases more than proportionally to its input costs as it grows larger. In the brokerage industry, this manifests as non-linear cost curves where initial compliance and operational expenses are steep, but marginal costs decrease significantly with scale, leading to higher efficiency and profitability for bigger players.

How IRS Drives Cost Advantages:

- Fixed costs like SEBI-mandated infrastructure (e.g., data security systems, legal audits) are spread over a larger client base, reducing per-unit expenses.
- As firm size expands (along the x-axis in the graph), total compliance spend approaches the minimum threshold asymptotically, allowing scaled firms to operate at lower relative costs compared to startups.
- This creates a feedback loop: larger firms can invest more in technology and marketing, further accelerating growth and widening the gap with smaller competitors.



Implications Beyond Barriers and Synergies:

- IRS amplifies network effects in brokerage, where more users attract even more due to enhanced liquidity, better pricing, and trusted platforms.
- For mid-sized firms, failing to achieve scale quickly results in unsustainable cost structures, pushing them toward acquisition as a survival strategy.
- IRS contributes to industry maturation, where innovation shifts from new entrants to incumbents, potentially slowing sector-wide disruption but improving stability.



The Profitability Puzzle

LTV Calculation

Particulars	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
New Clients	0.148	0.269	0.233	0.335	0.362	0.380	0.399	0.419
Total Client Base	0.31	0.57	0.80	1.11	1.44	1.82	2.22	2.64
ARPU	2926.21	2891.70	2779.34	3149.79	2581.32	2163.28	1879.73	1675.48
ARPU (Monthly)	243.85	240.97	231.61	262.48	215.11	180.27	156.64	139.62
Gross Margin %	55%	55%	52%	50%	47%	45%	48%	50%
Churn Rate (Monthly)	2.70%	3.60%	3.60%	4.10%	4.9%	4.8%	4.5%	4.2%
LTV	₹ 4,967.33	₹ 3,681.56	₹ 3,345.51	₹ 3,201.01	₹ 2,063.30	₹ 1,690.06	₹ 1,670.87	₹ 1,662.19
Brokerage fees	764.97	1327.55	1694.57	2701.41	2563.37	2691.54	2826.12	2967.43
Interest Income	151.79	310.38	529.47	796.72	1154.82	1247.21	1346.99	1454.75
TOTAL REVENUE	916.76	1637.93	2224.04	3498.13	3718.20	3938.75	4173.11	4422.17

Methodology :

- On average, revenue from brokerage is expected to grow at a rate of only 5% p.a., largely due to SEBI's phased measures, and the increase in STT for futures & options.
- At the same time, interest income is assumed to grow at 8% p.a., as investors deviate from F&O activity, to MTF investing.
- The monthly churn rate is expected to fall slightly, as the market conditions normalize after some disturbances in the present financial year.
- Gross margin % is averaged for a more balanced calculation, minding the outliers with gross margin % as high as nearly 70%, and as low as 30% approximately.

Inferences :

The customer lifetime value curve is downward sloping, largely caused by declining Average Revenue Per User, and declining gross margin %

a) **ARPU** - Cause of declining ARPU is the imbalance between growth of revenue components and total client base. With client base increasing at a rate of around 20%, revenue only grew at approximately 6-7%

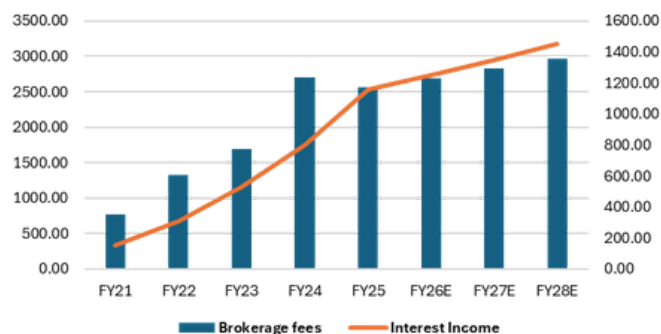
b) **Gross Margin %** - The decline in gross margin % is mainly observed due to regulatory strictness imposed by SEBI, causing F&O trades to drop, which provide the most value in the broking industry.

c) **Churn Rate** - With the investors feeling the pressure of the regulatory changes, the expected lifespan of an individual investor falls drastically, increasing the churn rate, reducing their lifetime value.

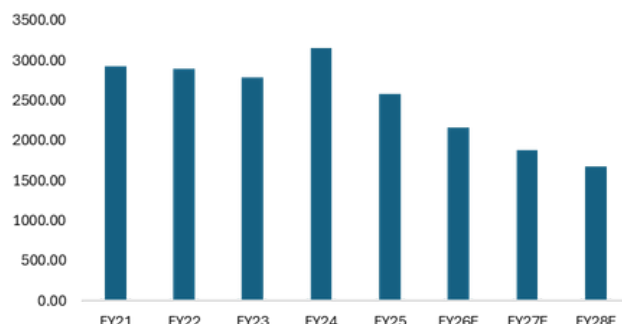
As a result, absolute value of customer lifetime is declining in the present. But in relative terms, the customer Lifetime Value : Customer Acquisition Cost ratio highlights whether the industry expects to maintain a positive outlook.

The ideal ratio stands at 3:1, which the industry exceeds in the initial years of the data. For a brief period of FY26 and FY27, it is expected to decline slightly, as market faces some uncertainties. But it is expected to climb back to nearly 3:1 as the market stabilizes once again.

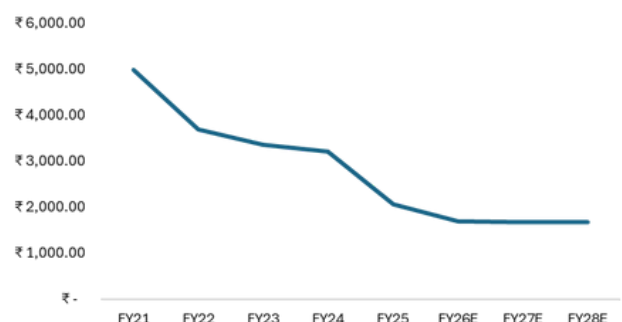
Revenue sources



ARPU



Customer Lifetime Value





The Profitability Puzzle

CAC Calculation

Specific costs	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Employee Benefit Expenses	₹ 132.43	₹ 192.18	₹ 226.77	₹ 273.54	₹ 337.04	₹ 370.74	₹ 400.40	₹ 420.42
Advertisement cost	₹ 1.63	₹ 22.04	₹ 4.85	₹ 13.02	₹ 28.96	₹ 28.09	₹ 28.65	₹ 30.09
Operational expenses	₹ 190.05	₹ 372.36	₹ 648.20	₹ 867.34	₹ 1,033.22	₹ 1,114.74	₹ 1,202.69	₹ 1,297.59
Referral expense	₹ 39.07	₹ 76.74	₹ 97.56	₹ 153.95	₹ 38.21	₹ 34.39	₹ 30.95	₹ 27.85
Total cost (₹ cr.)	₹ 96.373	₹ 188.200	₹ 222.949	₹ 318.830	₹ 225.396	₹ 235.915	₹ 233.861	₹ 230.369
Customers acquired (cr.)	0.148	0.269	0.233	0.335	0.362	0.380	0.399	0.419
CAC per head	₹ 651.31	₹ 700.44	₹ 957.72	₹ 951.10	₹ 622.30	₹ 620.33	₹ 585.65	₹ 549.43

Methodology :

- Employee benefit expenses are expected to rise, although at a slower rate, largely attributable to the players automating their processes.
- A decline in revenue drives the players to focus on organic growth, causing a reduction in advertisement costs in the short run.
- Operational expenses are assumed to grow in a linear pattern to the industry CAGR, i.e., at 7.89% p.a.
- Referral expenses to decline ever so slightly in the long run, reason being the tightening of regulations by SEBI in August 2024.
- The costs are apportioned to how relevant they would be in acquisition of new customers. It mainly affects advertisement cost, as a part of the cost would be related to retention of the customers, which would only increase over time.

Inferences :

The average cost of acquisition of 1 customer is projected more or less to stabilize after FY25 as the market matures. This is largely due to the following reasons :

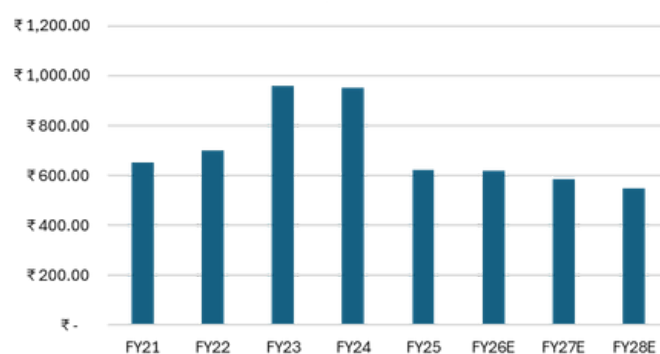
a) **Advertisement cost** - With a decline in revenue, firms cannot afford to spend the same amount on advertising. So they switch to organic means of growth. Also, with increasing customer base, a big part of advertisement spend can be associated with retention of customer, bringing down CAC.

b) **Other relevant costs** - With employee benefit expenses growth slowing due to adoption of automated processes, referral expenses gradually declining due to SEBI requirements, and operational expenses growing at a linear rate; including only a percentage of each cost has massively reduced the volatility of total cost.

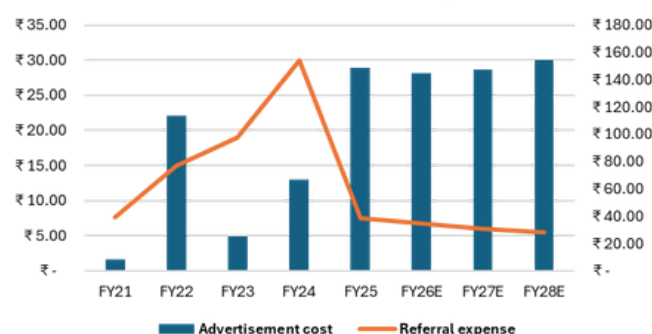
c) **Customer base** - The customer base keeps on increasing year after year, as people understand the importance of a secondary revenue stream, leading to more customer acquisition, which, in turn, means lower CAC.

Normally, a falling CAC represents either efficient channels of acquiring customers or underutilization of resources. However, in this case, it is the former, as the growth in customers, and costs to acquire them is largely linear.

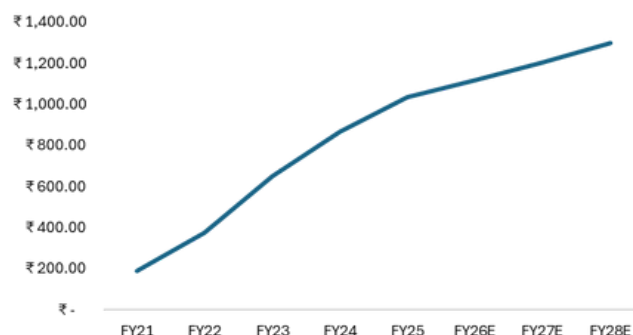
CAC per head



Advertisement & Referral expenses



Operational expenses





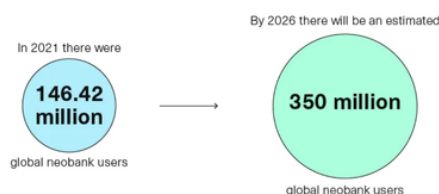
The Next Frontier: Evolution Beyond Broking

The Neobank Ambition:

Neobanks (fintech banks) are reshaping the financial services industry by increasing the access to diverse financial services. These are innovative digital-only financial institutions. These neobanks deliver services entirely online, which allows them to offer consumers benefits like reduced fees, faster loan approvals, and even early access to their paychecks. Also called challenger banks, they focus on tech-driven, user-friendly experiences with features like budgeting tools, real-time alerts, and quick sign-ups, appealing to digitally native customers. In addition to offering online services, neobanks are revolutionizing the financial world.

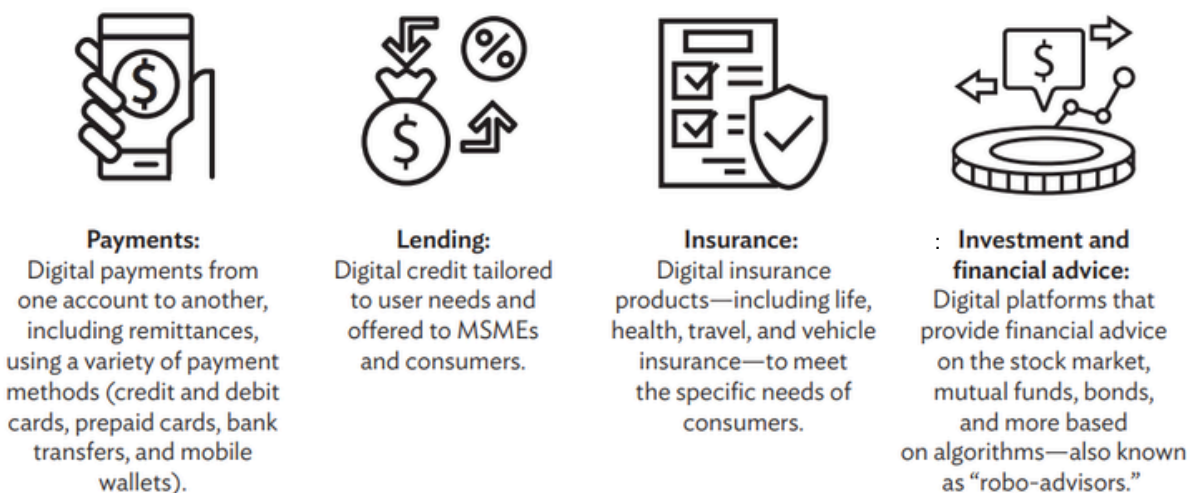
The reasons for shift of the industry towards these banks:

- Shrinking Commissions - The rise of discount brokers has driven down brokerage fees to near zero. To maintain profitability, these firms must find new revenue sources.
- Regulatory Tightening (SEBI Reforms) - New regulations, such as the uniform "true-to-label" transaction fee structure implemented by SEBI in late 2025, have cut into broker earnings, forcing them to pivot from volume-based revenue to service-based fees.
- Need for Recurring Revenue - Unlike trading, which is cyclical, lending and insurance provide stable, recurring income.
- High-Cost Acquisition vs. High Lifetime Value (LTV) - Brokers spend heavily to acquire clients. Cross-selling products allows them to maximize the lifetime value.



Neobank Ambition Strategy -

Figure 1.1: Prominent Types of Fintech Products and Services



Key Aspects of the Neobank Ambition -

- Diversification of Services - Companies are moving beyond just offering investment products to providing full-service banking, including savings accounts, lending solutions, and wealth management.
- The Rise of Super Apps - To enhance engagement, neobanks are developing "super apps" that combine multiple financial services—such as payments, investing, and insurance—into one platform.
- Targeting the Affluent Class - There is a strategic shift towards providing personalized, premium experiences to attract and retain affluent customers.
- Market Growth and Consolidation - The global neobank market is experiencing significant growth, with projections suggesting it could reach \$292.7 billion by 2030. However, this shift is also leading to consolidation as players aim to build more scalable, sustainable business models.
- Focus on Profitability - Following a period of intense focus on user acquisition, neobanks are now prioritizing monetization and profitability.



Key Players leading the industry:

- Angel One - Actively pursuing a strategy of offering credit, wealth management, and insurance alongside trading to deepen engagement.
- Grow - Operating its own NBFC to drive personal loan disbursements.
- Zerodha - Offering lending products like Loans Against Securities (LAS).
- Policybazaar - Aggressively growing its insurance and lending business (PB Partners).

Risks associated:

While this shift is necessary for survival, it brings new risks:

- Systemic Risk - Regulatory bodies like NSE/BSE are monitoring brokers to ensure that personal loans are not being misused for trading.
- Complex Regulation - As brokers become more like banks, they face stricter compliance requirements similar to traditional financial institutions.
- Operational Complexity - Managing multiple businesses (lending, insurance, brokering) on a single app increases technical and operational complexity.

The Titan Threat:

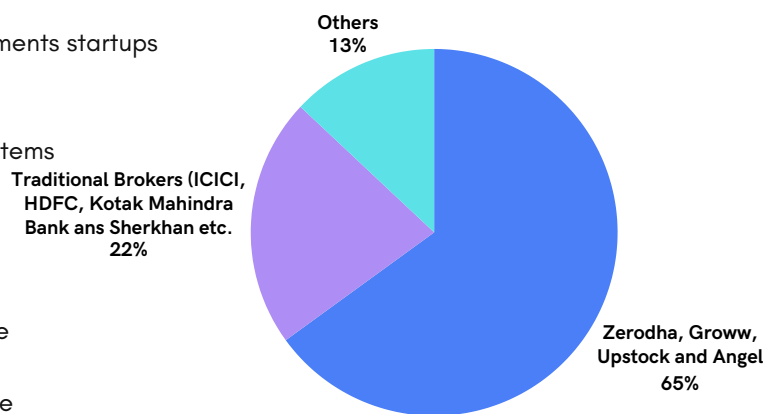
In today's fintech landscape, the biggest disruption is no longer coming only from startups, but from massive corporate-backed platforms. This can be called the "Titan Threat" where giant companies with huge capital, data, and ecosystems slowly dominate multiple financial segments at once.

Many smaller fintech companies, especially digital lending and payments startups are watching anxiously. Their worry stems from there-

- Huge financial resources
- Massive existing user base from Jio's telecom and digital ecosystems
- Deep pockets and strong distribution reach across India

These advantages could let these companies scale extremely fast and compete with startups that currently serve niche or middle-income consumer segments

- Industry insiders and investors believe that if such companies like Jio Financial and Phone Pay executes effectively:
- It could capture significant consumer attention and market share
- Leverage data and distribution to undercut or outcompete fledgling fintech offerings
- Expand rapidly into consumer lending, payments, insurance broking, digital banking, etc.
- The sense in the fintech community is that this may pressure smaller companies to innovate or diversify quickly to stay relevant.



Jio Financial Services

Jio Financial Services (JFS) and BlackRock have set up a 50:50 joint venture Jio BlackRock Asset Management to run a digital-first mutual fund (MF) business in India, after receiving SEBI approval to commence MF operations

The Plan: Traditional mutual funds in India generally rely on distributors, agents, and banks to sell their products. These intermediaries charge commissions and add layers of cost, which are passed on to the investor as part of the Total Expense Ratio (TER). Industry average TER for equity funds is around 1.78% (for regular plans). That means if your investment grows by 10%, about 1.78% gets deducted as expenses, reducing your effective return.

Jio BlackRock is going 100% direct, meaning:

No distributor commissions.

No bank partnership fees.

No "trailer fees"

As a result, they can bring the **TER down by 0.5%-0.6%** compared to competitors.

Consolidated Total Income	Rs 901 crore up 101% YoY
Pre-Provisioning Operating Profit (PPOP)	Rs 354 crore up 7% YoY
Profit After Tax (PAT)	Rs 269 crore
Share of Associates & JVs	Rs 36 crore Vs Rs 59 crore (Q3FY25)



Aladdin: It's not just software, it's BlackRock's flagship investment platform, used globally by some of the world's most prominent asset managers, pension funds, insurance companies, and banks. Aladdin is like the "central nervous system" of a professional fund manager's world – managing everything from risk to portfolio construction to trading.

1) **Portfolio Construction & Simulation:** Helps fund managers design portfolios based on data, not just "gut feeling".

2) **Risk Management:** Tracks thousands of risk factors in real-time – sector risk, credit risk, interest rate risk, currency exposure, and more.

3) **Trading and Execution:** Helps reduce "slippage" – the small losses that happen between planning a trade and executing it

Reasons for this merger

1) **Strategic Synergy:** The union of Jio Financial Services, a spin-off of Reliance and BlackRock brings an unmatched digital distribution network and deep investment expertise to the table. This strategic synergy is a promising sign for the future of the Jio-BlackRock JV.

2) **Regulatory and Strategic Milestones:** SEBI granted mutual fund license in May 2025 and advisory registration in June 2025, giving the JV full regulatory capability to operate as an AMC and investment adviser

3) **India's Market potential:** India's mutual fund penetration is still low (<5% of population), but assets are over Rs 72 lakh crore (\$844 billion). A digital-first, low-cost, tech-driven model could catalyze adoption among new investors.

PhonePe

PhonePe has successfully digitized 3.6 crore (36 Million) offline merchants spread across Tier 2,3,4 and beyond, covering 99% of the postal codes across India. PhonePe is also the leader in Bharat Bill Pay System (BBPS), processing over 45% of the transactions on the BBPS platform.

Capital Market offers stocks (intraday and delivery), Mutual Funds, Exchange-Traded Funds (ETFs), and WealthBaskets. WealthBaskets are curated collections of stocks/investment products by SEBI registered intermediaries that align with specific themes, sectors, or market trends enabling active equity portfolio building with great convenience, and at low costs.

Investors and traders will gain access to wealth-building opportunities powered by real-time, value-rich insights and intelligence, embedded into products and DIY tools deeply integrated with execution experience, enabling them to make informed decisions.

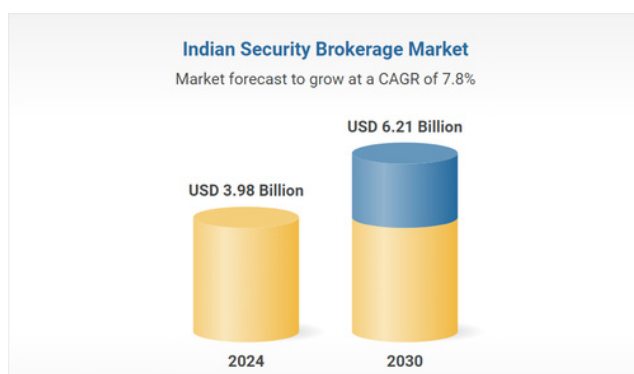
The platform will also host a dedicated Markets section to track the stock market, Indices, Stocks, and Sectors with an intuitive Watchlist tracker. PhonePe users can install the app as well access the web platform by using their PhonePe-linked mobile numbers.

Main Points of Disruption -

- **Mass distribution leverage:** PhonePe's enormous UPI user base gives it a ready audience for investment services without high acquisition costs.
- **Integrated financial ecosystem:** By combining payments, mutual funds, and now stock broking in one app, PhonePe can reduce friction in onboarding new investors and deepen customer engagement.
- **Competitive pricing & tech capability:** The Share.Market platform, with features such as WealthBaskets and market analytics, poses a technology-based challenge to traditional brokers.

This push may press incumbents to enhance digital features, pricing, and customer experience to retain market share.

Horizon 2030:



- The "Zero Brokerage" model, which gained prominence by offering free equity delivery trading, is driving a massive, irreversible shift toward transparency in the financial services industry, particularly in India.

- As of 2026, while it has democratized access to the stock market, the model faces significant sustainability challenges due to regulatory curbs, high client acquisition costs, and reliance on alternative revenue streams like derivatives trading.

- By 2030, the industry is expected to evolve into a hybrid, technology-driven ecosystem where "zero" becomes the baseline for service, but not necessarily "zero cost" to the user.



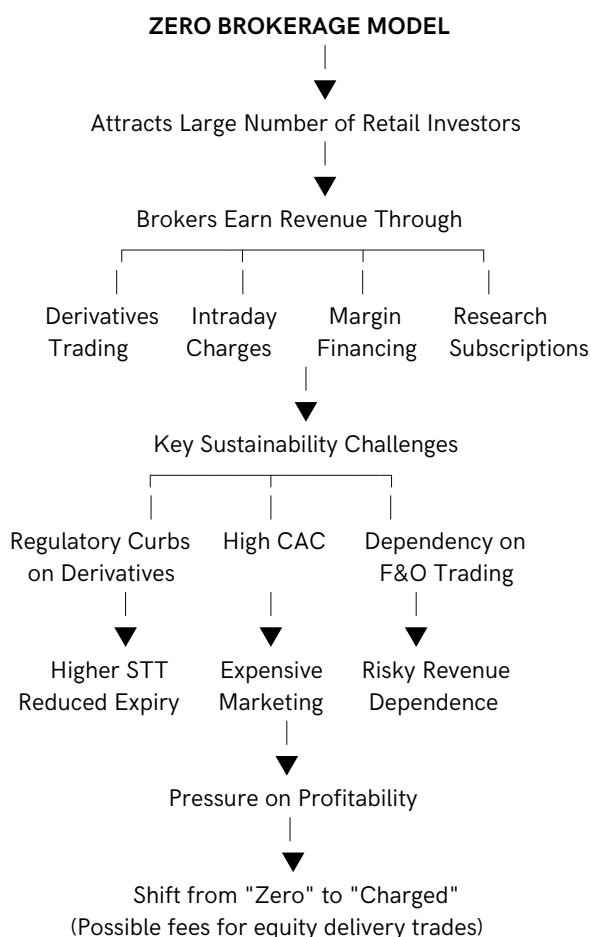
Sustainability Challenges for Zero Brokerage -

- **Regulatory Curbs on Derivatives (F&O):** The Securities and Exchange Board of India (SEBI) and other regulators have introduced measures to curb speculative trading, including increased Securities Transaction Tax (STT) on options and a reduction in weekly options expiries.
- **High Client Acquisition Costs (CAC):** While zero-brokerage acts as a hook, the high cost of acquiring and maintaining customers on a digital-first platform poses a challenge, forcing a shift towards alternative, more diversified income streams.
- **Shift from "Zero" to "Charged":** Due to these pressures, leading discount brokers are considering or initiating changes to their fee structures. This includes potentially charging for equity delivery trades for the first time to ensure business sustainability.

Investors benefit from having no broker fees, but for brokers, maintaining these types of business models is often a struggle. Brokers typically earn their income through other means like selling derivatives, intraday charges, providing margin financing, or selling research subscription services.

- **Dependency on High-Risk Derivatives:** The model heavily relied on profits from retail participation in options trading. Regulatory moves to treat options less like "lottery tickets" are causing a re-evaluation of this dependency.

There are many reasons why profit margins can be affected. Changes in government regulations, changes in the economy (market) and/or large reductions in volume (the total number of shares that are traded on each day) can all affect profitability.



Future of Transparent Investing: Zero brokerage trading accounts are not a niche offering anymore because they are establishing a new benchmark on cost transparency in financial markets. Investors have become very demanding in terms of clarity in pricing, low costs, and easy-to-access platforms, and it is upon the brokers to fulfil the demands to stay at par with the times. The industry is also progressing to a stage where transparency and efficiency are considered as significant as execution and advice. The brokers who adapt to this change and provide quality and affordable services will be in a position to develop, and those models relying on commissions or high fees may get left out.

The Industry End-State (By 2030) -

By 2030, the Indian fintech and wealth-tech sector, expected to reach a \$237 billion valuation, will likely reach a consolidated "end-state."

- **Hybrid Models:** The distinction between traditional and discount brokers will blur. All brokers will move towards a hybrid model—free basic, low-cost trading, but paid premium services like AI-powered advice, wealth management, and sophisticated research.
- **"Zero" as a Utility:** Just as free email became standard, zero-brokerage will become a basic utility in India. The competition will be on platform quality, speed, and additional financial services.
- **Market Consolidation:** Smaller brokers unable to sustain losses will be forced into mergers or shut down. The market will continue to consolidate around a few tech-driven leaders (e.g., in India, the top 3-4 players already command over 55% of active retail, a trend expected to intensify). With new entrants, regulatory bodies will mandate stricter cybersecurity and data protection, treating brokerage platforms as critical financial infrastructure.
- **Rise of Robo-Advisory:** Digital, AI-driven, and low-cost robo-advisory services are expected to see a significant CAGR (15.2% through 2030). Platforms will provide AI-driven stock ratings based on big data analysis of news and social sentiment, allowing retail investors to act like professionals.
- **Profitability Pivot:** Success will be measured by Assets Under Management (AUM) and Net Interest Income (NII) rather than just Daily Active Users (DAU).
- **Alternative Revenue Dominance:** By 2030, over 90% of revenue for brokerage firms will likely come from sources other than commissions—interest income, fintech partnerships, and value-added financial products.

Summary Table 2024-25 Vs. 2030

Feature	2024-25 Landscape	2030 Projected End-State
Primary Revenue	F&O Commissions/Value	Interest Income, Margin Funding, Advisory Fees
Model	Pure Discount/Zero Delivery	Hybrid (Low Cost + Paid Subscription)
Market Structure	Fragmented (500+ Brokers)	Highly Consolidated (Few Dominant Players)
Key Differentiator	"Zero" Price Tag	User Experience & Asset Management

Conclusion: The zero-brokerage model is sustainable only if it acts as an entry point for a larger, diversified financial services platform. The "zero" tagline is, in reality, a customer acquisition strategy. By 2030, the winners will be those who monetize customer relationships through wealth management and technology-driven financial products, not just transaction volume.



The Frustration Index

This survey studies how young traders and investors experience today's trading platforms — in terms of cost, technology, learning, and emotional pressure.

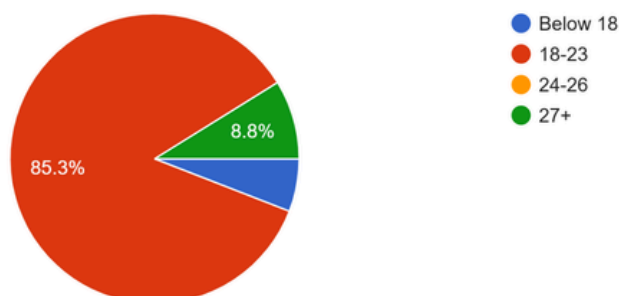
Sample size and methodology-

The study is based on **34 survey responses** collected through a **structured Google Form questionnaire**. The survey targeted young investors and traders to understand their experiences with trading platforms. Data was analyzed **using descriptive statistics and graphical representations**. The findings highlight key trends related to **investment preferences and challenges faced while using trading platforms**.

Age Distributions of Survey Respondents -

Age Group

34 responses



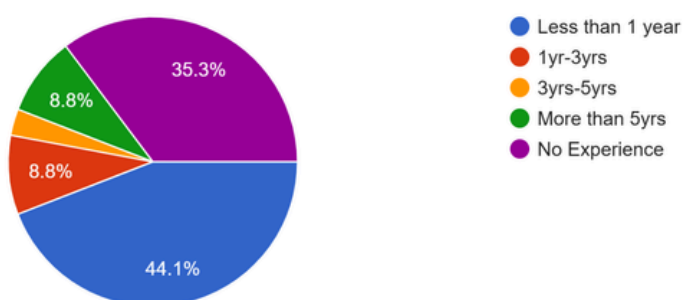
Inference :

The survey respondents are **predominantly young adults ages 18-23**, comprising **85.3 %** of the sample.

Market Experience of Survey Respondents -

Years of Market Experience

34 responses



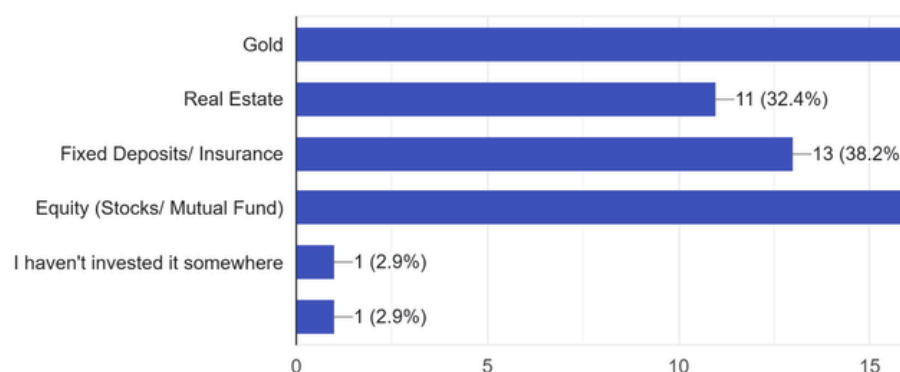
Inference

Most of the survey respondents have **little to no market experience**, with **44.1%** having **less than one year of experience** and **35.3%** having **no experience**, indicating that the sample **largely consists of beginners in financial markets**.

Preferred methods of Long -Term savings -

Where do you currently prefer to keep most of your long-term savings?

34 responses



Inference

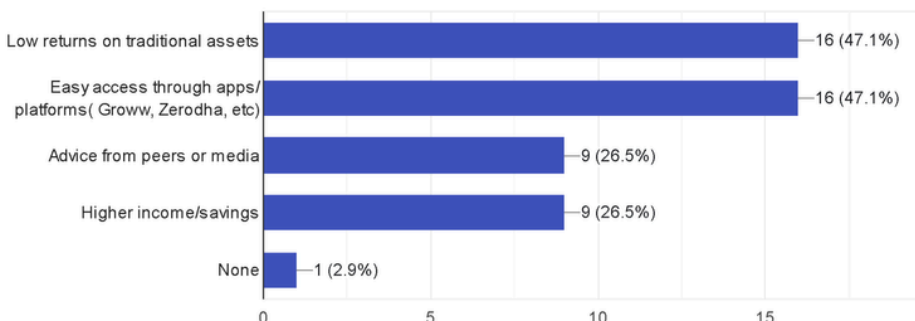
Most respondents show a **growing preference for equity based investments** along with traditional options, indicating a **gradual shift from conventional savings instruments towards market linked investments** for long term wealth creation.



Primary influence to invest in Equities-

What primarily influenced you to invest more in equities?

34 responses



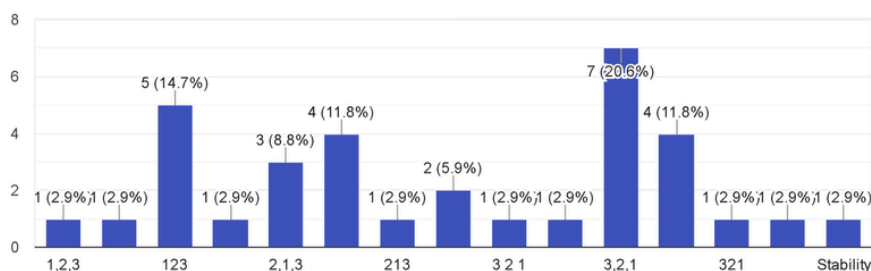
Inference

The survey indicates that the main factors encouraging respondents to invest more in equities are **low returns on traditional assets and easy access through trading apps**, each influencing **47.1% of respondents**. Additionally, **26.5%** reported that advice from peers or media and increased income/savings motivated their investments. This suggests that both **digital accessibility and dissatisfaction with traditional investment returns** are key drivers behind the growing interest in equity markets among young investors.

Troubles faced using trading platforms-

What troubles you most while using the trading platforms? Rank these from 1 (biggest pain) to 3 (least painful): • User Interface (UI) • Cost/Pricing ...ty/Reliability Write in order. (eg. 1,2,3 or 3,1,2 etc.)

34 responses



Inference

The ranking responses suggest that **stability and reliability issues appear to be the most significant concern among users**, with a notable number of respondents ranking it as the biggest pain point. **User interface complexity and cost/pricing** are also reported as concerns but appear slightly less dominant in comparison. Overall, the findings indicate that **platform performance and reliability play a crucial role in shaping users' trading experience**, especially for relatively new investors.

Reason why the top ranked trouble is the biggest issue-

Why is your top-ranked trouble/pain point (e.g., UI, cost, or stability) the biggest issue for you? Choose the most suitable reason:

34 responses



Inference

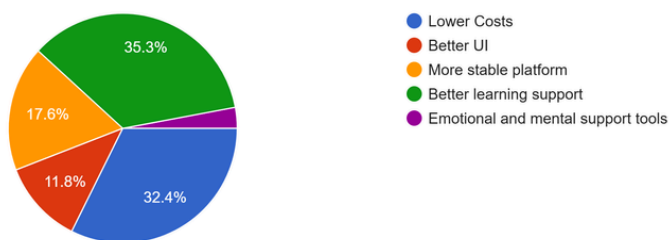
The results show that **cost relative to value is the most significant concern**, with **32.4% of respondents** indicating that trading platforms feel expensive for the services provided. Additionally, **26.5%** find platforms difficult to learn or navigate, while **20.6%** report that slow trading processes or frequent crashes disrupt their trading activities. These findings suggest that **both financial costs and usability challenges significantly contribute to user frustration on trading platforms**.



Addressing User Pain Points

What would reduce your frustration the most?

34 responses



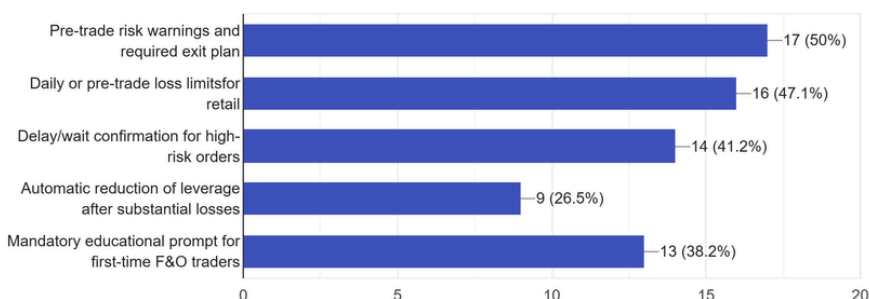
Inference

From the 34 responses, **the biggest factor that would reduce frustration is better learning support (35.3%)**, followed closely by **lower costs (32.4%)**. Fewer respondents prioritized **a more stable platform (17.6%)** and **better UI (11.8%)**, while **emotional and mental support tools received the least interest (~3%)**. Users mainly want **stronger learning support** and **lower costs** to reduce frustration.

Responsible Trading Guardrails

Which guardrails would you support being built into trading apps?

34 responses



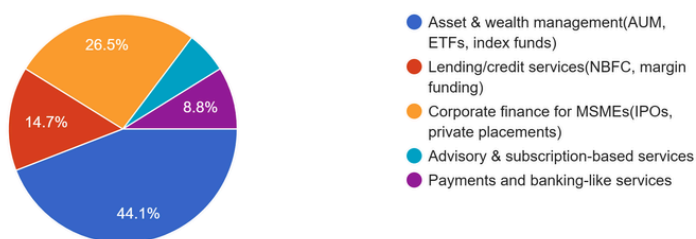
Inference

The results show that **risk-awareness guardrails are most supported by users**. The most preferred feature is **pre-trade risk warnings with a required exit plan (50%)**, followed closely by **daily or pre-trade loss limits (47.1%)** and **confirmation delays for high-risk orders (41.2%)**, indicating users favor **preventive controls before placing risky trades**.

Strategic Diversification for Brokers

Which business diversification should brokers prioritize to reduce dependency on transactional F&O income?

34 responses



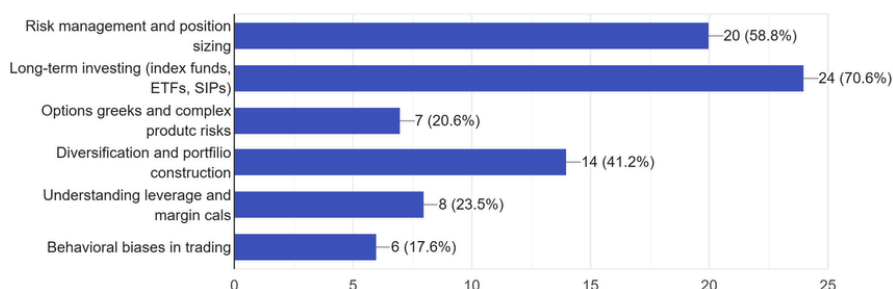
Inference

Most respondents believe brokers should prioritize **asset and wealth management services (44.1%)** to reduce dependence on F&O income, followed by **corporate finance for MSMEs (26.5%)**, while other diversification options receive relatively lower support.

Key Educational Topics for Retail Traders

Which educational topics should brokers actively teach retail users?

34 responses



Inference

Most respondents believe brokers should focus on **teaching long-term investing (70.6%)** and **risk management/position sizing (58.8%)**, indicating a strong preference for **fundamental investing and risk-control education over complex trading concepts**.

Possible Solutions & Ways Forward

The future of brokerage is not in increasing the number of trades, but in increasing the quality of the assets the customer holds. Tokenization is the bridge that allows a retail investor to move from being a 'market gambler' to a 'diversified asset owner'. Some of the ways to facilitate this transition are:

Democratizing High-Yield Asset Classes

Current market structures force retail investors into high-risk speculative trading (F&O) because the entry barriers for stable, high-yield assets such as Commercial Real Estate (CRE), Private Equity (PE), and Sovereign Debt are prohibitively high. Tokenization solves this by fractionalizing ownership into "micro-units," effectively lowering the barrier to entry from ₹25 Lakhs+ to as little as ₹100. Beyond simple ownership, these assets serve as Dynamic Collateral. Users can pledge their tokenized holdings as margin for other trades, providing instant liquidity without forcing the liquidation of their long-term wealth.

Additionally by partnering with VC/PE firms, brokers can allow retail users to own "shares of a tokenized fund" that invests in pre-IPO startups, providing wealth-building opportunities historically reserved for ultra-HNIs.

Feature	Impact on Broker	Impact on Retail Investor
Asset Custody	Steady AUM-based fee income (recurring).	Exposure to non-correlated, stable assets.
Secondary Market	Transaction fees from RWA trading (24/7).	Instant liquidity for traditionally "locked" assets.
Collateralization	Interest income via "Loans Against Tokens."	Ability to use real estate/PE tokens as margin.

Transitioning KPIs from "Active Users" to "Net Worth Growth"

The most profound change required is a shift in the key performance indicators (KPIs) used to evaluate brokerage success. Historically, firms focused on "Active User Count," but this metric is flawed because it does not distinguish between a user who is building wealth and a user who is blowing their account.

Brokers should prioritize "Net Worth Growth" as their primary KPI. By helping a user stay solvent for 10 years instead of 6 months, the Life-Time Value (LTV) of that customer actually increases.

Facilitating Informed Investment and Consumer Protection

Retail investment is not to be eradicated, however, the way it is being approached must be changed. Providing institutional grade data should be considered a standard feature, not a premium one. This includes real-time Greeks and heat maps, that prevent users from entering a trade without a defined exit strategy. By helping a user stay solvent for 10 years instead of blowing their account in 6 months, the Life-Time Value (LTV) of the customer actually increases.

Most retail investors do not realize how difficult it is to make it in the market as a small investor. In order to prevent the erosion of retail capital brokerage firms should aim to ensure that the investor is aware about the risks involved with speculative trading and aware about less risky long term wealth creation options like diversified index funds, exchange-traded funds (ETFs), and systematic investment plans (SIPs).

Brokers should aim to include in app guardrails such as cooling-off periods after a user loses a large chunk of capital in a single day. As long as the platform's user interface (UI) remains optimized for easy, one-click entry into F&O, the "education" will always be fighting against the "addictive" nature of the product.

Diversification of business operations

Asset Management (AMC)

Lending, Credit, and Wealth-Tech Infrastructure

To survive in an environment where F&O velocity is no longer the primary revenue driver, brokerage firms must diversify into "sticky," asset-based financial services. Industry leaders have already begun reducing their dependency on traditional broking, aiming to bring it below 60% of total income by FY28.

Asset Management (AMC)

Launching an Asset Management Company (AMC) allows a broker to capture the growing demand for passive investment. Zerodha, Groww, and Angel One have all entered this space, focusing on low-cost Index Funds and ETFs.

- Zerodha Mutual Fund: Recorded significant inflows of ₹1,785 crore in December 2025 alone, bringing its total AUM to ₹12,064 crore. By focusing on direct-investment passive products, Zerodha aligns its revenue with the growth of its clients' assets.
- Angel One Mutual Fund: Positioning itself as a "passive-only" fund house, Angel One believes that democratizing access to Index Funds eliminates the guesswork of active management and empowers a billion lives through simple wealth creation.
- Groww Mutual Fund: Following the acquisition of Indiabulls Asset Management, Groww has launched products like the "Groww Value Fund" to help users build wealth through undervalued companies with strong fundamentals.

Lending, Credit, and Wealth-Tech Infrastructure

Brokerages are increasingly morphing into Non-Banking Financial Companies (NBFCs). By offering lending and credit services, they can generate steady interest income that is less volatile than brokerage fees.

- Margin Trade Funding (MTF): Scaling the loan book for MTF allows users to take positions in the cash segment while paying interest to the broker. Zerodha's loan book reached ₹5,000 crore in 2025, providing a crucial alternative revenue stream.
- Loans Against Securities (LAS): Allowing users to borrow against their long-term portfolios provides liquidity without forcing them to liquidate their wealth, encouraging long-term holding.
- MSME Corporate Finance: Reputed firms are expanding into supporting MSMEs with IPO preparation and private placements, contributing to broader economic development while diversifying their corporate service offerings.

Revenue Source	FY24 Share (Typical)	FY28 Target Share	Volatility Level
F&O Brokerage	70%	<40%	High
Asset Mgmt Fees	2%	15%	Low
Interest Income (Lending)	5%	20%	Medium
Wealth Advisory/SaaS	3%	15%	Low
Other (IPO/Corporate)	10%	10%	Medium



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Conclusion

The Indian retail brokerage industry has reached an inflection point where the hyper-growth fueled by "zero-brokerage" models and speculative F&O volumes is no longer sustainable. Squeezed by stricter SEBI regulations, operational fragility during high-volatility events, and looming threats from deep-pocketed tech titans, the sector is headed for inevitable consolidation. To survive this shift, brokerages must abandon the reliance on volatile transactional churn and pivot toward resilient, relationship-based wealth management—merging reliable hybrid tech-stacks with broader financial services to secure long-term AUM.



Disclaimer

This report is submitted as part of the **Impact Project, Sri Venkateswara College (University of Delhi), Chapter**. It has been conceptualized and developed strictly as an academic immersion project. We explicitly state that the analyses, strategic models, and conclusions presented within these pages are intended solely for **educational and research purposes**. This document does not constitute professional financial advice, and the frameworks discussed herein are **not intended** for real-world commercial application or direct industry use cases.

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